

The ₹3 crore *that keeps refilling.*

What the plan going around forgets to subtract.

There is a chart doing the rounds right now. Split ₹3 crore into two halves, spend one and leave the other invested, reset after twelve years, and you arrive at ₹17.85 crore having drawn an income the whole time. The arithmetic in it is fine. What it never mentions is tax, and tax does two things here: it makes the first twelve years better than the chart claims, and it breaks the reset in the middle. Here is the same plan with both counted.

- 1 You can draw ₹1.5 lakh a month for twelve years and pay **zero income tax** on any of it. Not a loophole. Withdrawing your own capital is not income, and the interest never crosses the rebate limit.
- 2 While you spend the first half, the second half turns ₹1.5 crore into **₹5.84 crore**. You do nothing to it for twelve years.
- 3 Refilling the spending half means selling units, and that costs **₹36.5 lakh** in capital gains tax. Split the corpus exactly in half at that point and the plan runs dry in year 11 instead of year 24.
- 4 Twenty-four years of income still leaves **₹9.89 crore** standing. Not ₹11.37 crore. The difference is the tax nobody put in the chart.

START WITH

₹3,00,00,000

split into two buckets

DRAWN AS INCOME

₹6.48 Cr

over twenty-four years

STILL INVESTED, YR 24

₹9.89 Cr

after every rupee of tax

TAX, YEARS 1 TO 12

₹0

on ₹2.16 crore withdrawn

THE SCENARIO

Every input, and *where it comes from*

A big number is only worth as much as the assumption behind it. All of them are here, dated, before anything is compounded.

INPUT	VALUE USED	BASIS · SEPTEMBER 2026
Starting corpus	₹3,00,00,000	Illustrative. The figure the original chart uses.
Income bucket	₹1,50,00,000	Fixed deposit. The half you spend down.
Growth bucket	₹1,50,00,000	Nifty 50 index funds. Untouched for twelve years.
FD return	7.00%	The rate the original assumes. Senior citizen rates reach this; general 5-year rates are lower today.
Equity return	12.00%	The round number most guides assume. It is not a promise. See page 3.
Income tax	New regime	FY 2026-27. Nil up to ₹12 L taxable after the ₹60,000 rebate under section 87A, plus 4% cess.
Capital gains	12.50%	On equity gains above ₹1.25 L a year, held over 12 months, with cess and 15% surcharge. No indexation.

Tax slabs and the 87A rebate: new regime rates for FY 2026-27. Capital gains: 12.5% above the ₹1.25 lakh annual exemption, effective 23 July 2024 and unchanged. Rates verified September 2026. No income other than this corpus is assumed.

1 Years 1 to 12, and why they cost you nothing

You withdraw ₹1.5 lakh a month, ₹18 lakh a year, from the fixed deposit. Part of that is interest the deposit earned and part is your own capital coming back. Only the first part is income.

YEARS 1 TO 12	AMOUNT
Withdrawn each year	₹18,00,000
Interest earned in year one, falling every year after	₹10,50,000
Income tax payable on it	Nil
Deposit balance at the end of year 12	₹16,00,000
Growth bucket over the same twelve years	₹1.50 Cr to ₹5.84 Cr

THE BIT MOST VERSIONS MISS

Interest peaks at ₹10.5 lakh and falls from there, so it never crosses the ₹12 lakh line.

The rebate under section 87A wipes out the tax entirely below that threshold. Because the deposit shrinks every year, the interest it throws off shrinks too, so year one is the highest tax year and it is already nil. Across twelve years you draw ₹2.16 crore and pay nothing on it. That is the single strongest feature of this plan and the original chart does not mention it once.

The reset is 57/43, not half and half

At year 12 the deposit is nearly empty and the growth bucket is at ₹5.84 crore. To start the cycle again you have to sell units, and selling is a taxable event.

YEAR 12 RESET	AMOUNT
Growth bucket before the sale	₹5.84 Cr
Units redeemed	₹3.31 Cr
Long term capital gains tax on that sale	₹36.5 L
Reaches the new income bucket	₹ 2.94 Cr
Stays invested in the growth bucket	₹ 2.54 Cr

THE CORRECTION

You have to redeem more than half to end up with half.

Sell exactly ₹2.92 crore, as a clean 50/50 split implies, and only about ₹2.56 crore survives the tax. That funds ₹3 lakh a month for eleven years, not twelve, so the second cycle ends before the growth bucket is ready and the whole thing stops repeating. Redeeming ₹3.31 crore instead fixes it. The split that looks tidy on a chart is the one that breaks in practice.

2 Years 13 to 24, and where you land

The withdrawal doubles to ₹3 lakh a month. Interest is now above the rebate line, so tax appears for the first time: about ₹1.7 lakh in year 13, falling to nil by year 18, roughly ₹5.9 lakh across the phase. The growth bucket compounds from ₹2.54 crore to ₹9.89 crore.

WHERE YOU STAND AT YEAR 24	WITH TAX COUNTED	AS THE ORIGINAL CHART HAS IT
Cash drawn as income	₹6.48 Cr	₹6.48 Cr
Corpus still standing	₹9.89 Cr	₹11.37 Cr
Total value generated	₹16.37 Cr	₹17.85 Cr

The ₹1.48 crore difference is tax, nothing else. Same returns, same withdrawals, same twenty-four years. Then you reset again and the cycle runs on.

What the arithmetic *cannot tell you*

Every number in this guide assumes a steady annual return and a stable tax code. Neither of those is how the world actually behaves.

3 Three things this plan cannot promise you

₹3 lakh in year 13 is not a raise

At 6% inflation it buys what ₹1.49 lakh buys today. Doubling the withdrawal keeps your standard of living level. It does not raise it, and a plan that skips this is quietly overstating itself.

12% is an assumption

If the index delivers 8% instead, the growth bucket is ₹3.78 crore at year 12, not ₹5.84 crore. Every number after that moves, including whether the reset works at all.

The order of returns matters

A weak first decade hurts most, because the growth bucket has no time left to recover before the reset forces you to sell. A twelve-year average hides which years were which.

IF YOU TAKE ONE THING FROM THIS

The plan works. The chart selling it is off by ₹1.48 crore.

Two buckets, one spent and one left alone, is a genuinely sound way to draw an income from a large corpus, and the tax-free first phase is better than anyone advertising it realises. It just needs the tax written into the arithmetic rather than left out of the picture.

Money you leave alone *does the heavy lifting.*

This guide is educational material, not investment advice. I am not a SEBI-registered investment adviser. Tax rules, deposit rates and market returns quoted here are accurate as of 23 September 2026 and will change. The 12% and 7% figures are assumptions carried over from the original chart so the comparison is like for like, not forecasts. Equity investments can fall in value and any particular twelve-year stretch can deliver considerably more or less than the average. Your own tax slab, deposit rate and expenses will differ, and small changes move the answer meaningfully. Run your own numbers, and speak to a qualified registered adviser before acting on any of this.